

[PART -1] Why Is PPFAS Repeatedly Buying CMS Infosystems When Everyone thinks Cash Is Dying?

#19 : A contrarian accumulation case in India's cash infrastructure consolidation play — FY27 as inflection year.



THE LOGGICAL INVESTOR

APR 18, 2026



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Share

The stock that looks broken, but smart money keeps buying

If you simply open the chart of CMS Info Systems, the first reaction is quite brutal.



CMS infosystems chart

It feels like the stock is going straight down. Price action looks weak, sentiment very negative, and the easiest bear case conclusion is :

UPI is growing fast, cash usage will go down, ATM transactions will fall, eventually CMS will shrink as a business. So the conclusion becomes that business has no real future.

It sounds logical. Right ?

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But then there's another side to this. While this negative narrative is getting stronger, some smart institutions like PPFAS Mutual Fund are actually increasing their stake in the company. That makes me pause and think :

“ Is the market missing something here? “

Because sometimes what looks like a clear headwind on the surface can slowly turn into a tailwind. In this case, things like industry consolidation, the collapse of AGS (a key competitor), increasing outsourcing of ATM operations, and new technology layers like Hawkeye and remote monitoring platforms could actually change the story.

At first, this can feel a bit confusing.

So in this deep dive, we'll go step by step. We'll look at the bear case, what can go wrong, what can go right, how the numbers actually look, and how to think about valuation from scratch.

And before we begin, one quick question for all of you:

Is cash really dying in India, or is that just the market's favourite narrative?
Would love to know how you're thinking about this.

Before we get into the business model, customer base, and product offerings, let's first understand the key event reshaping this entire industry — **the collapse of AGS Transact Technologies.**

Once India's second-largest ATM management company, AGS is now in NCLT insolvency with admitted claims of ₹13,171 crore. This single event has changed the competitive landscape, and understanding it is crucial before studying the benefits of CMS.

01 How did AGS go from ₹1,300 Cr market cap to insolvency?

AGS Transact was not a reckless new startup. It was a 20-year-old company, one of India's largest ATM managed service providers (MSPs).

As recently as June 2024, it still had an "A" credit rating. Its collapse did not happen overnight. It was a slow decline that eventually turned into a sudden break. And when you look back, the warning signs were always there, just not taken seriously at the time.

Jan 2022

AGS launched its IPO at ₹175 per share and raised ₹680 crore. At that time, the business looked stable with a mix of ATM services and payments solutions. Revenue was around ₹1,100+ crore, and the company had an "A" credit rating which gave confidence. The promoter family led by Ravi Goyal continued to hold majority control.

FY24 – Early warning signs

Things started weakening slowly. Revenue did not grow and actually declined about 4% over five years. Receivables increased sharply, and debtor days went to 225 days, meaning the company was waiting more than seven months to be paid.

At the same time, two independent directors, one promoter director, and the CEO resigned within a short period. Despite these signs, lenders continued to provide credit based on outdated ratings.

H2 FY25 – Liquidity crisis begins

Cash flow problems became serious. AGS depends on banks for payments, but banks only pay if service level agreements (SLAs) are maintained. AGS started missing these service conditions, likely because it could not afford proper operations.

Banks then began withholding payments. This created a negative cycle where lower cash led to worse operations, and worse operations led to further payment delays. Receivables kept increasing, and the company missed interest payments in December 2024 and January 2025.

Feb 2025 – Collapse phase

The situation deteriorated quickly. CRISIL downgraded AGS credit ratings to 'B' on February 4, and India Ratings followed on February 5. All four independent directors resigned at the same time.

The share price fell 62% within a few days. Employees had not been paid for months, and PF contributions were also not deposited. As a result, field staff refused to refill ATMs. Around 38,000 ATMs across SBI, ICICI, Axis, and other banks were affected and faced cash shortages.

Mar – Aug 2025 : Legal proceedings

The issue moved into legal action.

In March, an operational creditor, Maxwell Aircon, filed a case in NCLT. August 25, NCLT Mumbai admitted AGS into insolvency under the CIRP process. An Interim Resolution Professional was appointed.

Total claims against the company reached ₹13,171 crore. Three resolution plans were submitted, but no final decision has been made as creditors continue discussions.

Mar 2026 – Current status

The situation is still unresolved. The 9th Committee of Creditors meeting is scheduled, but there is no clear outcome yet. Most ATMs are either not working or have been transferred to other operators.

The company's market cap has fallen to around ₹35 crore, a decline of about 97% from its peak. The resolution process may take another 12 to 18 months, and most of the ATM business has already moved to other players.

AGS PEAK MARKET CAP ₹1,300 Cr Sep 2024 · pre-collapse	AGS MARKET CAP TODAY ₹35 Cr ~97% · essentially zero	ADMITTED NCLT CLAIMS ₹13,171 Cr Creditors fighting over ruins	ATMS DISRUPTED ~38,000 Across SBI, ICICI, Axis etc.
REVENUE FY24 ₹1,043 Cr Net loss: ₹70 Cr same year	DEBTOR DAYS (PEAK) 225 days 7.5 months of revenue stuck	CREDIT RATING DROP A → D 8 months · June to Feb 2025	IPO PRICE VS TODAY ₹175 → ₹7 ~96% from IPO price

II. But , Why did AGS really fail ?

The collapse was not because of one bad quarter. It was a buildup of multiple problems over time. Each issue on its own could have been handled, but together they became too big and eventually broke the business.

01 Transaction-based pricing : weak revenue model

AGS mainly worked on a per-transaction model with banks like ICICI Bank Axis Bank. This means if ATM usage goes down, revenue also goes down.

As UPI and digital payments increased, ATM transactions started falling. So AGS earned less per ATM. But the costs did not reduce. Expenses like vehicles, salaries, fuel, and maintenance remained mostly fixed. So over time, revenue kept falling but costs stayed high. This hurt profitability.

So the core problem here was simple — **Per-transaction model + falling ATM volumes = shrinking revenue on fixed cost base**

02 Capital trap — too much spending on the wrong model

AGS aggressively invested in Brown Label ATM (BLA) contracts. In this model, the company puts its own money to install ATMs and earns based on transactions. This works only if transaction volumes are strong. But when volumes dropped, the machines were not earning enough.

At the same time, the company had already taken on debt to fund this expansion. So now it had to pay interest on assets that were not generating enough income.

ATM management business is already capital heavy. Machines are expensive, operations need vehicles and manpower. To manage cash, AGS started delay payments to suppliers. Payable days stretched to more than 2 years.

This is a classic capital trap. (*Payable days: 803+ days · Debtor days: 225 day* borrowing money to invest in assets that don't give enough return.

03 Governance failure — early warning signs ignored

There were clear warning signs in management. Two independent directors one promoter director and the CFO resigned within the short period. These usually serious red flags. But lenders continued to give loans, relying on old credit ratings.

CRISIL still had an “A” rating till June 2024. Just a few months later, it dropped to “D” (default). This shows that the situation was not properly understood or acted upon in time. Later, when auditors raised doubts about the company's ability to continue operations, it was already too late to fix things.

04 Operational death spiral — things broke down quickly

ATM contracts have strict service rules. If ATMs are not working properly, banks can stop payments. As AGS started running out of cash, it could not maintain ATMs properly.

Machines were not repaired on time, staff were not paid, and operations weakened.

Because of this, service levels dropped. Banks then stopped payments as contract terms. This made the cash problem even worse. With less cash, operations deteriorated further. And then more payments were stopped. The cycle kept repeating and getting worse.

The final breaking point came when employees refused to refill ATMs in February 2025 because salaries were not paid for months. At that point, the system was completely broken down.

The lesson for investors

*AGS had revenue of ₹1,000++ Cr Cr in FY24 and still went bankrupt. Revenue alone does not equal **financial health**. The combination of transaction-based pricing in a declining volume environment, debt-funded capex, and a 225-day DSO left AGS with no cash buffer when operations slipped.*

Compare this to CMS: fixed-price contracts, ~₹600 Cr cash on hand, zero debt, and a historical OCF/EBITDA conversion of ~70%.

The business models are superficially similar — both manage ATMs — but financial architecture is fundamentally different.

Note: I've shared secondary research on understanding the differences between *recyclers and traditional ATMs*, how this impacts CMS's business, the distinction between *on-site and off-site ATMs*, and several other key insights on Telegram. Click the "Acc" button below to read more.

III. The chain reaction: what AGS's death set off across the industry

AGS was managing around 32,000 to 38,000 ATMs. When the company collapsed, those ATMs didn't just stop working quietly. It created a chain reaction that affected banks, other Managed service providers (MSP), and the overall CMS system.

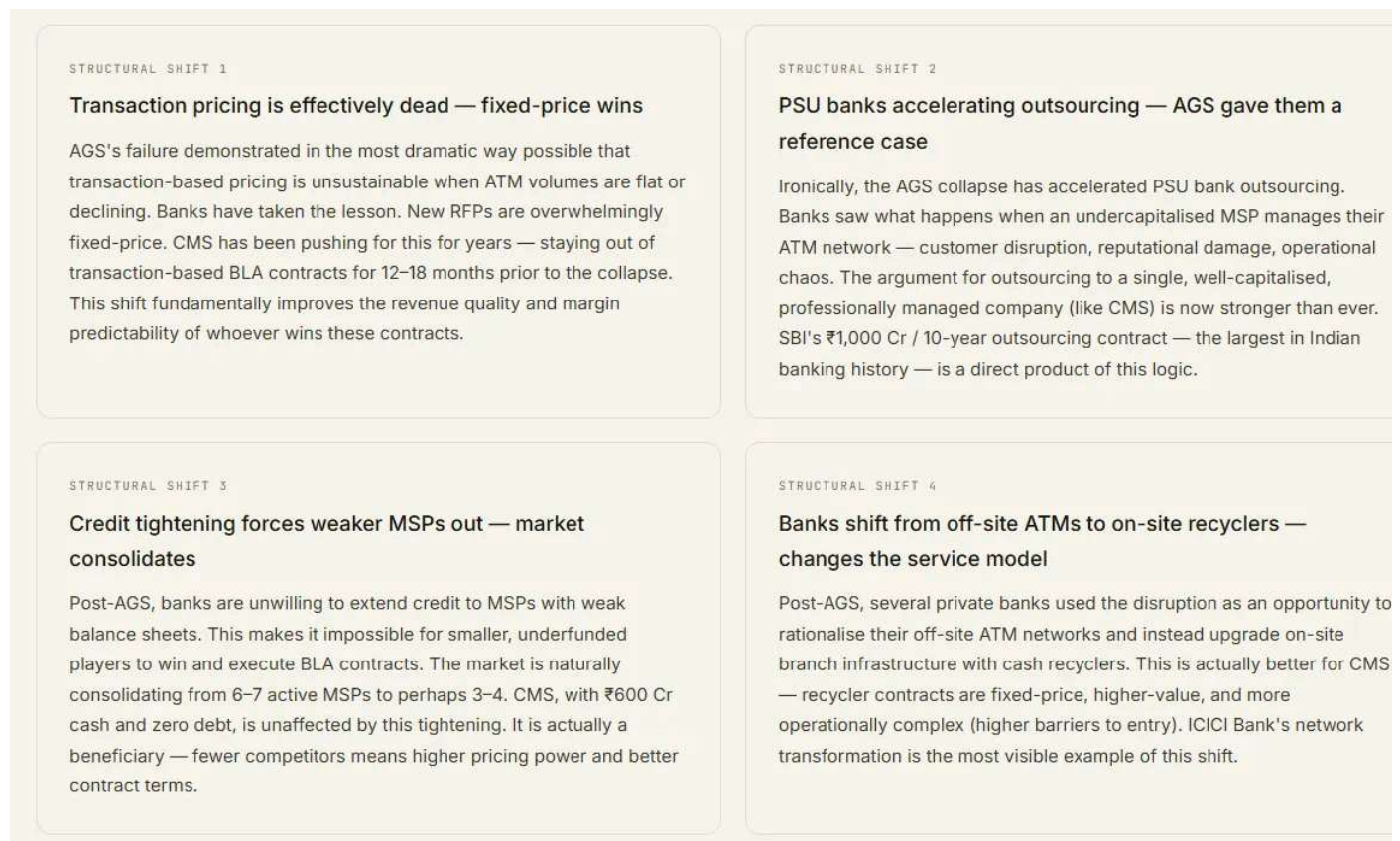
These ATMs still needed to be managed, filled with cash, and maintained. When AGS failed to do this, banks were forced to step in quickly to avoid service disruptions. This led to operational stress across the system.

The workflow graphic below explains this step by step in a simple way.



Banks, regulators, and MSPs all adjusted their approach after seeing how fragile the system can become when one player breaks down. The shift is not theoretical — it is already visible in contracts, pricing models, and how banks are choosing partners. These changes are important because they directly affect how companies like CMS will grow from here.

The graphic below breaks this into four clear structural shifts that are now playing out across the industry.



Industry player count and market share redistribution

AGS Transact's collapse is the most significant structural event in India's ATM management industry since the sector was born. A company managing 38,000 ATMs has been effectively wiped out. The vacuum it left has fundamentally reshaped the competitive landscape.

The industry structure has shifted meaningfully following the exit of a key player, leading to consolidation.

1. CMS Info Systems has increased its market share to ~58%, up from ~ earlier.
2. The remaining 3–4 managed service providers (MSPs) collectively account around ~30% of the market.
3. AGS Transact Technologies, which earlier held ~12% share, has effectively exited and now holds 0%.
- 4.

IV. Is CMS benefitting after AG Transact fall ? Yes — but with important nuance.

*CMS is unambiguously the primary beneficiary — **the only company at sufficient scale with zero debt and ₹600 Cr cash, to absorb the AGS portfolio.** The SBI contract, ICICI transformation, the MSP acquisition, the pricing improvement, and the shift to fixed-price contracts are all direct downstream effects of the AGS collapse.*

DIMENSION	AGS TRANSACT (COLLAPSED)	CMS INFO SYSTEMS
REVENUE MODEL	Transaction-based (volume risk)	Fixed monthly fee (predictable)
CONTRACT STRUCTURE	Shorter, variable terms	5-10 year lock-ins
DEBTOR DAYS (PEAK)	225 days (7.5 months)	~90-100 days (normalised)
DEBT POSITION	₹719 Cr debt, interest unpaid	Zero net debt, ₹600 Cr cash
CREDIT RATING TRAJECTORY	A → D in 8 months	No debt to rate; strong financials
CAPEX DISCIPLINE	Aggressive BLA capex, poor returns	Sat out BLA RFPs; preserved capital
GOVERNANCE QUALITY	4 directors resigned; CFO exit	Stable board; CEO aligned (no bonus FY26)
EMPLOYEE PAYMENT RECORD	Wages unpaid months; PF not deposited	LTS wage settlements signed; no arrears
OUTCOME	NCLT CIRP - ₹13,171 Cr claims	Operating business - FY27 recovery path

CMS VS AGS - STRUCTURAL COMPARISON

“Post AGS, the bank shut down almost 3,000 off-site ATMs in H1, but they working with us to rapidly deploy currency recyclers to bring back the network to earlier levels... The short-term pain in the last year, the collapse of an industry plus the credit taps being tightened for some MSPs are eventually going to help the A industry consolidate faster. This is also creating a better pricing environment for upcoming RFPs.” — Rajiv Kaul, CEO · Q2 FY26 Earnings Call, Nov 2025

The broader issues in the industry are clearer now that we’ve discussed the flaws in AGS Transact Ltd. This helps us understand why CMS is primary beneficiary.

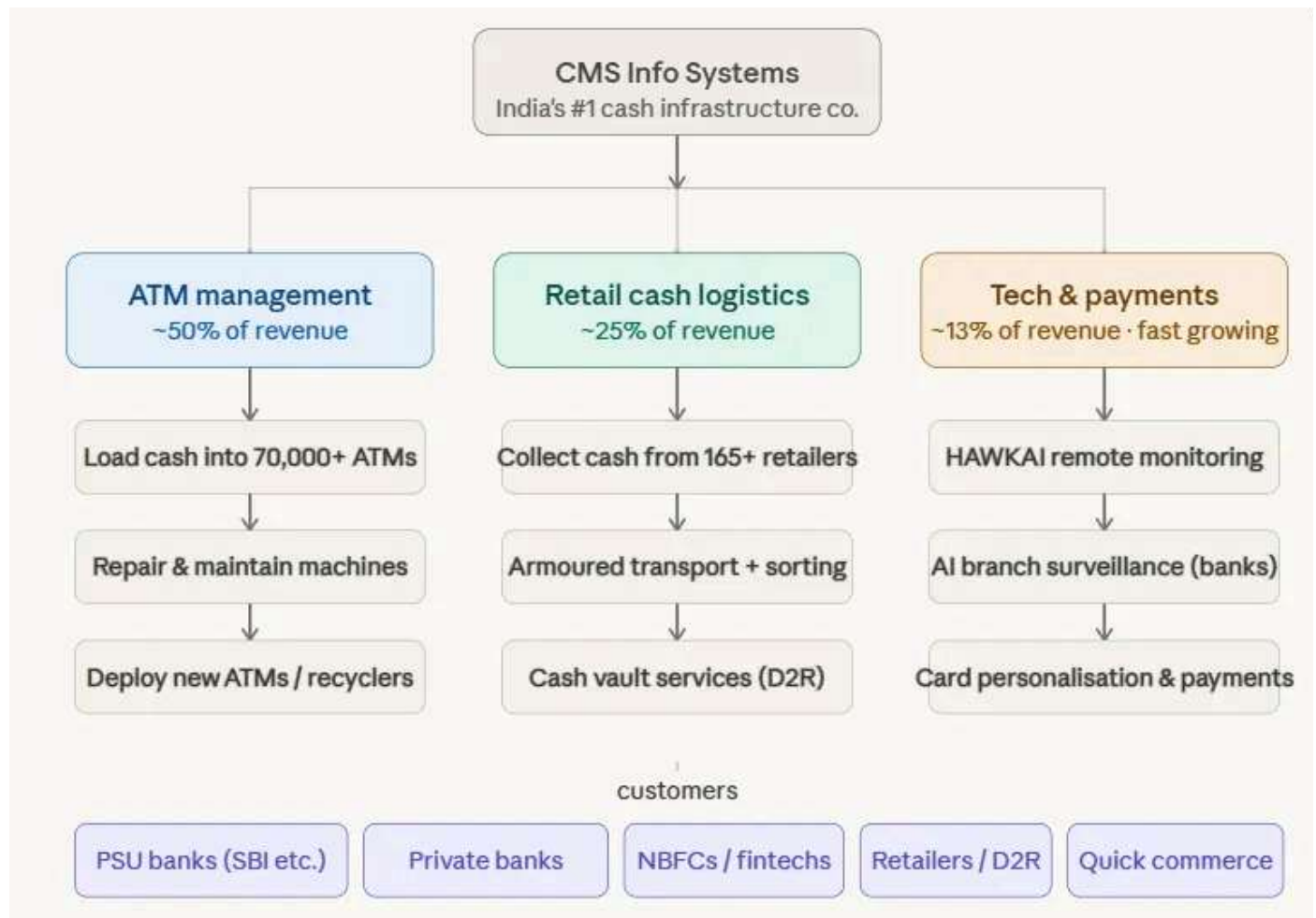
Let’s take a closer look at the business model of CMS INFOSYSTEMS LTD.

V. What does CMS actually do?

Imagine India has about 260,000 ATMs. Every single one of those machines needs cash loaded into it regularly. Someone has to drive to it in an armoured vehicle, count the cash, load it in, fix it if it breaks, and make sure it's running 24/7.

Banks don't want to do this themselves — it's expensive, operationally complex and not their core business. So they outsource it. CMS Info Systems is the largest company in India that does this outsourcing.

But that's only the beginning of what they do. Here's the big picture of how the entire business is structured.



Platform 1 : ATM Management

Think of this like a maintenance and fuelling contract for a fleet of machines: a bank owns 10,000 ATMs spread across India. They don't want to hire 2,000 people to drive around loading cash and fixing broken machines.

So they call CMS and say: **"Here's our ATM network. You run it. We'll pay you a fixed monthly fee per machine."**

CMS then deploys its fleet of armoured vehicles, its 1,000+ field engineers, and route-optimisation software to keep every single machine running at 95-99% uptime.

Platform 2 : Retail Cash Logistics

When a supermarket, jewellery store, or petrol pump collects cash from customers all day, that cash is sitting in a drawer doing nothing. It's also a security risk.

CMS comes to the store, counts the cash, picks it up in an armoured vehicle, either deposits it in the bank or stores it securely.

Think of it like a courier service — but for cash, with armoured vans. This segment is newer (CMS only had zero retail clients 2.5 years ago, now it has 100+ clients) and is the fastest expanding on the logistics side.

Platform 3: HAWKAI — The tech bet

This is the youngest and most exciting part of the business. HAWKAI is CMS's AI-powered remote monitoring platform. A bank with 2,000 branches could station a guard at every entrance 24/7 — it's too expensive.

Instead, CMS installs cameras, sensors, and software that watches everything in real time using AI. If something looks suspicious, an alert fires. The bank pays CMS a fee per camera.

CMS a monthly subscription.

ATMS UNDER MANAGEMENT 70,000+ Targeting 74-75K by Mar'26	MARKET SHARE · ATM CASH MGMT ~58% Nearest competitor far behind	PRESENCE ACROSS INDIA 250+ Locations · 1,000+ field engineers	CONTRACT LENGTHS 5-10 yrs Multi-year lock-ins, fixed price
HAWKAI SITES (FY26 TARGET) 50,000+ From 30,000 at FY26 start	DIRECT RETAIL CLIENTS 165+ From 0 just 2.5 years ago	CASH ON BALANCE SHEET ₹600 Cr Zero debt · fortress balance sheet	RETURN ON CAPITAL EMPLOYED ~25% 5-year average ROCE

Key operational Metrics as of Q3FY26

▶ ▶ IMPORTANT ANNOUNCEMENT

I've officially started my mentorship community. The full announcement will be going live later this month on the blog—but I'm opening the doors early for those who want to get in now. If you're seriously interested in joining, you can

- Send me an email at thelogicalinvestor.business@gmail.com or
- Reach out directly on X / Substack DM (details mentioned above)

Message The Loggical Investor

Just include a brief introduction about yourself along with your current investing framework. From there, we can take the conversation forward over email or chat.

That's all for now. More soon - when the time's right.

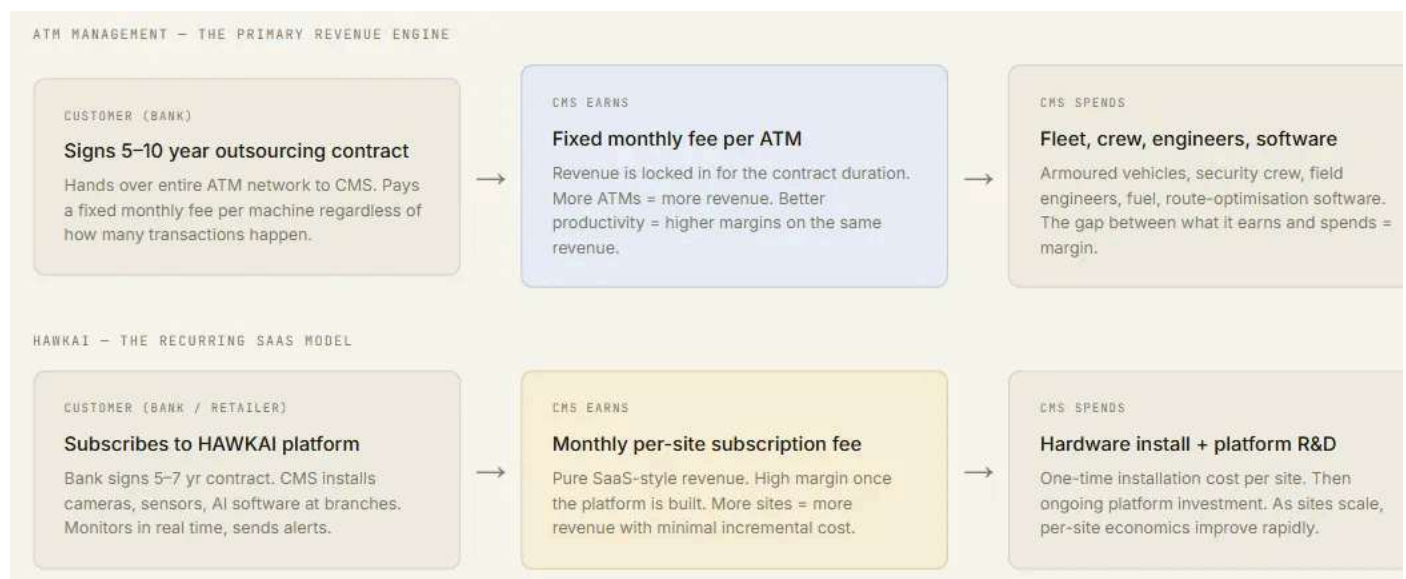
VI. How does CMS actually make money?

The revenue model is important because it decides how predictable the business is, how much pricing power the company has, and what kind of margins it generate over time.

CMS earns money in different ways depending on the segment it operates in. In cash management, margins are lower, usually around 18–22%, because the business is labour-heavy and depends on things like guards, drivers, fuel, and other operations. It is operationally complex and costs are hard to control.

In managed services, margins are better at around 28–35%. This is because contracts are more stable and fixed in nature, and the company benefits from some operating leverage as scale increases.

The technology segment has the highest margins, around 35–45%. This is because it is more software-driven, with lower ongoing costs. Once the system is built, adding more sites does not increase costs significantly, which leads to strong operating leverage. *The graphic below breaks down how these revenue streams actually work in a simple flow.*



Why “Annuity revenue” matters to investors ?

Over 85% of CMS's revenue is annuity in nature — it repeats automatically every month from multi-year contracts. This is the opposite of a project-based business where you have to hunt for new clients every year. Think of it like a mobile phone subscription versus a one-time gadget sale. The subscription model is far more predictable, allows better planning, and commands higher valuation multiples from the market.

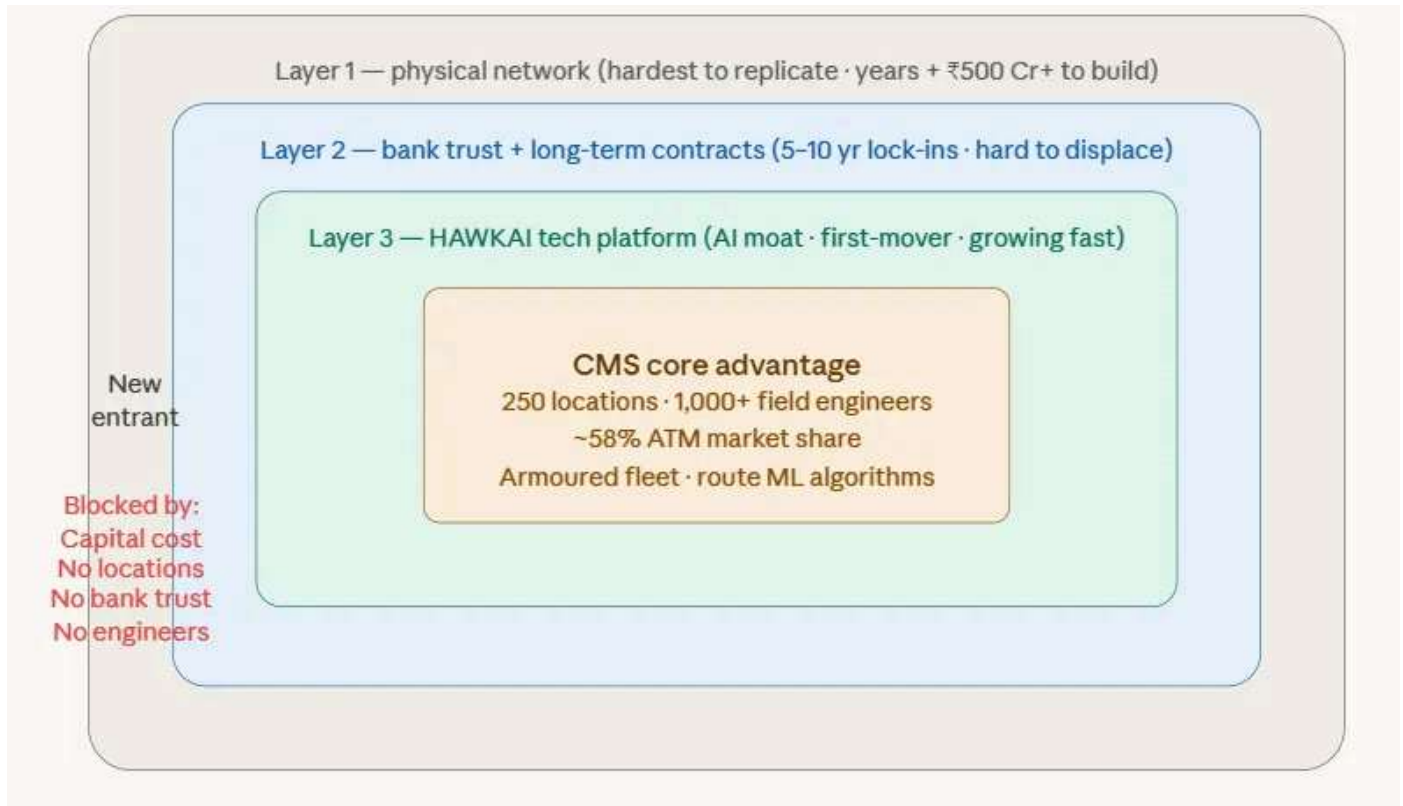
VII. The moat: why competitors can't just show up and take this business ?

This is the most important question for any investor. If CMS is making good money, why can't someone else just copy the same model?

The simple answer is that the barriers here are physical, not digital. You can build software from a small room. But you cannot build a nationwide ATM network from this from scratch so easily.

The moat works in three layers.

The first layer is **physical infrastructure**. CMS has around 250 branches across India, thousands of armoured vehicles, trained staff, and more than 1,000 field engineers. They can reach and service ATMs almost anywhere in the country. Building this kind of network takes years and a lot of money. It's not something a new company can set up quickly.



The second layer is **trust and contracts**. Banks don't just hand over ATM operations to a new player. This is a highly sensitive business involving large amounts of cash every day. CMS has been working with major banks for over 20 years. It already has long-term contracts in place. Switching to a new vendor is not easy and comes with risk and cost.

The third layer is **technology**. CMS has built its own platform called HAWKAI which is used to monitor operations across thousands of locations. Over time, it keeps collecting data on how systems normally behave. This creates an advantage because the system keeps improving with more data, and new players won't have that history.

So overall, the advantage is not just one thing. It is a combination of physical network, long-term relationships, and built-up data over time. That's what makes it hard to replicate.

MOAT Strength by Different dimensions



VIII. Wait — if AGS collapsed, why did CMS have a bad FY26?

This is the most important question. If CMS is the primary beneficiary of AGS's collapse, why did CMS's earnings deteriorate sharply in FY26? The answer reveals how much structural tailwinds can be in the near term.

The "distressed" performance in FY26 was primarily driven by a combination of aggressive internal investment ahead of delayed contracts, a significant industry-wide credit squeeze following the collapse of a competitor (AGS Transact),

external macro factors such as weather and consumption slowdowns.

The key reasons for this performance are :

Near-term pain 1 — CMS invested ahead of the AGS opportunity, but contract took longer than expected to come through.

When it became clear that AGS would collapse and SBI would need a new part CMS started preparing early. It hired engineers, expanded its network, and b capacity expecting the SBI contract to come quickly.

But the SBI RFP was delayed. It was first issued in early 2025, then cancelled, later reissued with changes. This meant CMS had already increased its costs was not getting the expected revenue. The company had to carry this higher c base for months.

Management later admitted this was a learning. This early investment with immediate revenue was the biggest reason for margin pressure in FY contributing around 1.5% decline in EBITDA margins.

Near-term pain 2

Banks tightened credit across the entire ecosystem, not just AGS. After the A collapse, banks became cautious and reduced credit limits for all MSPs. 7 included smaller partners that CMS works with in certain regions.

Because of this, these partners could not deploy ATMs or execute work prop CMS had already prepared capacity expecting growth, but the execution did happen on time.

At the same time, some of these partners delayed payments to CMS. So e revenue that CMS had already earned got stuck in receivables. This led to hig

expected credit loss (ECL) provisions and longer collection cycles. ECL provisions increased to around 4.25–4.5% of revenue in FY26 compared to 3.7% in FY25.

Near-term pain 3

Private banks reduced off-site ATMs, causing a temporary dip. After AGS collapsed, some private banks like ICICI shut down many low-usage off-site ATMs. Many of these ATMs were being managed by CMS. Instead of replacing them immediately, banks started shifting towards recycler machines, which take time to install.

Because of this, CMS saw a temporary drop of around 4,000 ATMs in its managed portfolio in the first half of FY26.

This led to a revenue impact of about ₹15 crore. However, this was more of a timing issue rather than a permanent loss. By Q3 FY26, things had already started improving.

Near-term pain 4

The opportunity is real, but it takes time to show in numbers. Taking over ATMs from a failed competitor is not immediate. Banks need to end old contracts, sign new ones, complete checks, and finalise terms.

After that, CMS has to onboard machines, train staff, set up routes, integrate systems, and ensure service levels are met. This entire process takes time, usually between 6 to 18 months. So while the opportunity from AGS's collapse is real, benefits will show gradually in financial results.

FY26 shows the pain, while the real gains are expected to come later execution catches up.

Putting it all together:

CMS Info Systems is India's dominant cash infrastructure company — specialist that banks hire to manage the operationally painful, essential, unglamorous job of keeping the country's ATM network running.

It earns through **long-term fixed-price contracts** that generate predictable monthly revenue regardless of economic cycles. Its competitive position rests on 250 physical locations, a 58% ATM market share, and two decades of bank relationships that are extremely hard to displace.

On top of this stable base, CMS is building **HAWKAI** — an AI-powered remote monitoring platform that is growing at 30% CAGR and addresses a ₹3,000 crore industry opportunity in bank branch surveillance.

The business generates strong cash flows, carries zero debt, and is run by a **management team that has publicly foregone bonuses and ESOPs in a total of 10 years** — a rare signal of shareholder alignment.



CMS Info Systems Limited
November 06, 2025

Services & Tech business, which had an annual growth of 18%. The PAT for first half of the year stood at INR167 crores compared to INR182 crores in the same period last year.

As part of our broader cost rationalization efforts and considering H1 performance, the performance-linked ESOP will not vest and incentive payment will not accrue to the leadership team in this financial year, as these are directly tied to that performance.

This vision is consistent with our culture of accountability and ensure the leadership rewards are aligned with the business outcomes and shareholders' interest. As projects go live this year for our tech investment, capex spend in H1 is INR175 crores. Full year estimate of around INR300 crores. You will remember, we had deferred and curtailed capex in last year FY '25.

The core investment question is not whether the business model is sound – clearly is. The question is —

*whether management can **execute the FY27 recovery** from the current trough: deliver the contracted SBI ramp, filling the ATM count back to 74–75K, and continuing HAWKAI's growth trajectory.*

That's it for Part 1 of the CMS Infosystems deep dive.

So far, we've covered the AGS collapse, industry consolidation, and the **business model** that makes CMS structurally stronger than the market narra suggests.

But the bigger open questions still remain:

1. What are the real growth triggers/Investment thesis for FY27 and Beyond
2. How does the P&L evolve from here?
3. What does the valuation look like under different scenarios?

4. Where are the key risks and stress points?

We'll cover all of that in **Part 2 of this newsletter**. If you'd like the next part sooner, **drop a comment below** — that will tell me this thesis is worth taking deeper.

Understanding a business deeply is a journey I take for myself — but transform that depth into something simple, structured, and genuinely useful for you... that's a whole different craft. It takes hours of reading, thinking, questioning, connecting dots — all to bring you clarity without the noise.

If this work resonates with you, I'd truly appreciate your support. A like, a share, or a restack helps this reach more curious minds like yours.

And your comments? *They mean more than you might think.* They keep me going, keep me improving, and remind me why this effort is worth it.

Let's keep learning, thinking, and growing — together.

Happy investing!

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